Answer Key - Economics - Graduate Level Assessment 19 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** A
   Options: A) Near-monies are physical currencies; B) Near-monies are long-term investment bonds; C) Near-monies are commodities used for barter; D) Near-monies are precious metals such as gold and silver; E) Near-monies are ownership stakes in real estate
   Note: The term "near-money" refers to financial assets that are not cash but can be quickly converted into cash, such as savings accounts or treasury bills, rather than physical currencies themselves.

2. **Answer:** A
   Options: A) decrease by $200 million.; B) decrease by $100 million.; C) increase by $200 million.; D) decrease by $10 million.; E) increase by $500 million.
   Note: The money supply can potentially decrease by 200$million because a$10 million sale of government securities reduces bank reserves, and with a reserve requirement of 5%, this leads to a total potential decrease in the money supply calculated through the money multiplier effect, which is 1 divided by the reserve requirement (1/0.05 = 20), resulting in a 10$million x$20 =200 million decrease.

3. **Answer:** C
   Options: A) As the demand for bonds increases the interest rate increases.; B) For a given money supply if nominal GDP increases the velocity of money decreases.; C) When demand for stocks and bonds increases the asset demand for money falls.; D) A macroeconomic recession increases the demand for loanable funds.
   Note: The correct answer reflects the inverse relationship between the demand for financial assets, such as stocks and bonds, and the asset demand for money, as increased investment in these assets typically reduces the need to hold money as a store of value.

4. **Answer:** A
   Options: A) more price stability.; B) more choices of products for consumers.; C) lower prices.; D) more efficiency.; E) less market control.
   Note: Monopolies have more price stability than perfectly competitive markets in the long run because they have the market power to set prices above marginal costs and maintain consistent pricing, whereas perfect competition leads to price fluctuations due to many firms entering and exiting the market in response to changes in supply and demand.

5. **Answer:** D
   Options: A) The elasticity of the long-run aggregate supply curve; B) The spending (or expenditure) multiplier; C) The investment multiplier; D) The balanced budget multiplier; E) The aggregate demand multiplier
   Note: The balanced budget multiplier is equal to one because it indicates that an

equal change in government spending and taxation will lead to an equivalent change in overall economic output, thus maintaining the budget balance without affecting aggregate demand.

True / False

6. **Answer:** False
   Options: A) True; B) False
   Note: The Rule of 72 is a formula used to estimate the number of years required to double an investment at a fixed annual rate of return, rather than a regulation governing interest rates on savings accounts.

7. **Answer:** True
   Options: A) True; B) False
   Note: When the U.S. dollar appreciates, it increases the purchasing power of U.S. residents abroad, making foreign vacations relatively cheaper and more attractive.

8. **Answer:** False
   Options: A) True; B) False
   Note: The statement is false because Net National Product (NNP) is calculated by subtracting capital consumption (depreciation) from Gross National Product (GNP), and with GNP at $2,050,000 and capital consumption at$500,000, the correct NNP would be $1,550,000, not$1,950,000.

9. **Answer:** True
   Options: A) True; B) False
   Note: Raising taxes on disposable income decreases the amount of money that consumers have available to spend, thereby reducing overall demand for goods and services, which can help combat built-in inflation caused by rising prices when demand outpaces supply.

10. **Answer:** True
    Options: A) True; B) False
    Note: An expectation of rising prices creates a sense of urgency among consumers to purchase the product now rather than later, thus increasing current demand.

Long Form Response

11. **Answer:** A higher rate of inflation relative to other nations can significantly impact a nation's trade deficit by making its exports more expensive and imports cheaper. As domestic prices rise, foreign consumers may reduce their demand for the nation's goods, leading to a decrease in export volumes. Concurrently, the cheaper prices of foreign goods entice domestic consumers to increase their imports, exacerbating the trade deficit. Over the long term, sustained inflation could lead to a loss of competitiveness in international markets, potentially resulting in diminished economic growth

and increased reliance on foreign goods, which could further destabilize the nation's economic balance.
Note: correct because it identifies how a higher inflation rate increases domestic prices, making exports less competitive and imports more attractive, which directly contributes to a widening trade deficit over time.

12. **Answer:** Increasing costs, which signify decreasing returns to scale, significantly limit the degree of specialization within an economy. When production experiences rising costs, firms may find it less profitable to expand output or engage in specialized production processes, as the marginal gains from specialization diminish. For example, in agriculture, a farmer may initially benefit from specializing in a particular crop due to efficiency gains; however, as the scale of production increases, the costs associated with inputs, labor, and resource allocation may rise disproportionately, leading to a reduction in overall productivity. Consequently, firms may opt for a more diversified approach to production to mitigate these rising costs, resulting in a less specialized economy. This interplay illustrates how economic conditions can shape the structure and efficiency of production within markets.
Note: correct because it connects the concept of increasing costs, indicative of decreasing returns to scale, to the reduction in profitability of specialized production, illustrated through the example of a farmer facing diminishing returns as output expands.

End of Answer Key